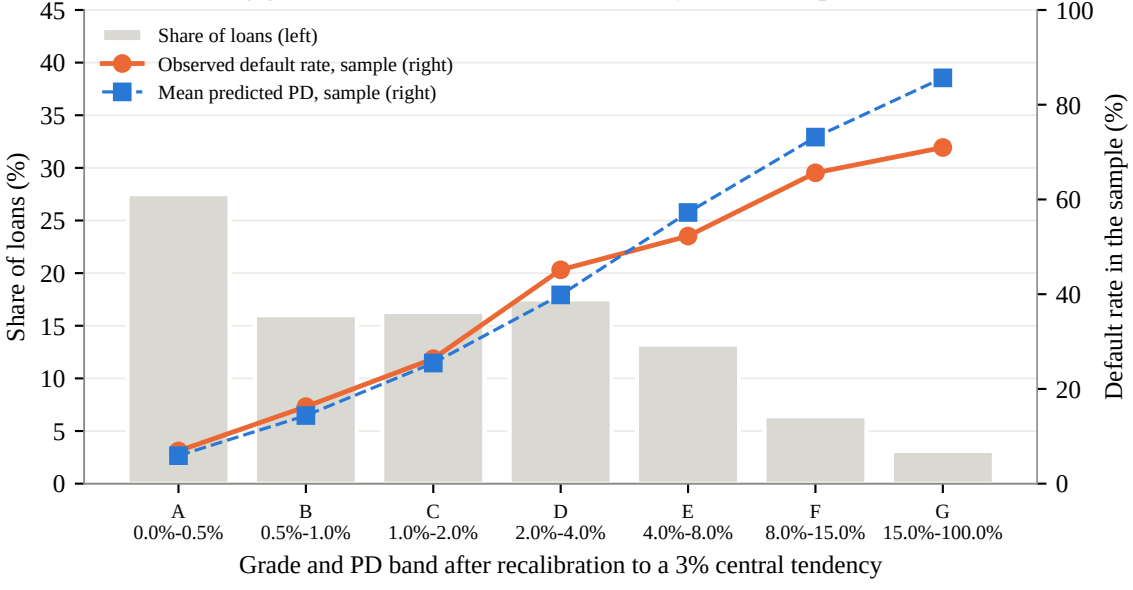
Rating grades: who sits where, and do they default as predicted?
Share of loans (left)
Observed default rate, sample (right)
Mean predicted PD, sample (right)
Share of loans (%)
Default rate in the sample (%)
0
5
10
15
20
25
30
35
40
45
0
20
40
60
80
100
A
0.0%-0.5%
B
0.5%-1.0%
C
1.0%-2.0%
D
2.0%-4.0%
E
4.0%-8.0%
F
8.0%-15.0%
G
15.0%-100.0%
Grade and PD band after recalibration to a 3% central tendency